CSIS JAPAN CHAIR

Japan Daily Brief

Monday, October 26, 2026

1,687 words · 7 min read

RE: Fukuda dies at 90 · BOJ holds this week · US Marine indicted Okinawa · China-Russia spy flights · cyber surge

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
62,189.65	157.37	$109.74	1.00%
▼ -2.94%	▼ -0.72%	▲ +0.85%	

TOP STORIES

POLITICS-DIET

Former Prime Minister Yasuo Fukuda dies at 90

Yasuo Fukuda, Japan's first second-generation prime minister and a proponent of Japan-China engagement who served from September 2007, died at 90, per Japan Times, NHK World, Reuters, and Kyodo. Fukuda chaired the 2008 Toyako G8 Summit and was known for prioritizing dialogue with Beijing; China's Foreign Ministry expressed condolences via Xinhua.

THE JAPAN TIMES

ALLIANCE

Japan indicts US Marine over Okinawa killing, media say

Japanese prosecutors indicted a US Marine on charges of robbery and murder of a woman in Okinawa, per Reuters, Kyodo, and CNN. The indictment follows a pattern of criminal incidents involving US military personnel on Okinawa that have strained basing politics and host-nation relations.

REUTERS

DEFENSE

Japan deploys long-range missile launcher during major drill with U.S.

Japan deployed a long-range missile launcher during a major joint exercise with the United States, per Kyodo and NHK World. The drill features new missiles and represents a concrete milestone in Japan's operationalization of its counterstrike-capable weapons systems acquired under the defense buildup.

KYODO NEWS

TECHNOLOGY

Japanese companies compensate users as cyberattacks buffet economy

Japanese companies including GMO Internet Group are compensating users following a wave of cyberattacks, with GMO's CEO admitting internal engineers had flagged security vulnerabilities before the breach, per Reuters and Mainichi. Japan Forward reports AI tools have lowered the language barrier for attackers, with Chinese AI tools suspected in some intrusions; PM Takaichi convened a national cybersecurity meeting in response.

REUTERS

INDO-PACIFIC

No sign of progress in talks over detention of Japanese journalist in Russia

Japan Times reports no sign of progress in Tokyo's efforts to secure the release of detained Hokkaido Shimbun reporter Yuki Imai, held by Russia's FSB in Sakhalin on espionage charges, with Russia maintaining its position and continuing to deny consular access. Tokyo plans to continue pressing Moscow but Russia has not softened its stance.

THE JAPAN TIMES

ALLIANCE

U.S. military bans Chinese-made BYD cars from key air base in Okinawa

The US military has banned Chinese-manufactured BYD cars from Kadena Air Base in Okinawa, citing concerns about smart-vehicle technology and espionage risk, per Japan Times. The ban reflects a broader US force-protection posture toward Chinese-origin technology at military installations.

THE JAPAN TIMES

STAT OF THE DAY

12.7%

Chinese-branded cars' share of European auto sales, September 2026

Chinese carmaker registrations roughly doubled year-on-year in September to surpass Japan's share of European sales for the first time, per Japan Times and Bloomberg.

Chinese carmakers overtake Japan in Europe for first time — Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · MONDAY, OCTOBER 26, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi convened a national cybersecurity meeting amid surging attacks on Japanese companies and declared she will 'execute all response options including active cyber defense,' per Bloomberg and Asahi.

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ expected to hold policy rate at 1.00% this week; Ueda signals further hikes toward neutral

Multiple financial media report the BOJ is set to leave its policy rate unchanged at the meeting this week, while BOJ Governor Kazuo Ueda has signaled the trajectory toward a neutral rate continues. Reuters analysis characterizes the pause as 'hawkish,' leaving scope for a December hike.

→ Reuters ↗

防衛省・統合幕僚監部 · MINISTRY OF DEFENSE / JOINT STAFF

Chinese and Russian intelligence aircraft escalate operations around Japan amid major US-led exercise

Chinese and Russian intelligence aircraft increased flight operations around Japan's periphery coinciding with a major US-led exercise, per Military Watch Magazine and The Defence Blog. The coordinated activity follows the pattern of adversary reconnaissance surges during allied drills.

→ Google News ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Foreign Minister Toshimitsu Motegi*

Foreign Minister Motegi receives courtesy call from Qatar Minister of State for Foreign Affairs

Foreign Minister **Toshimitsu Motegi** received a courtesy call from Qatar's Minister of State at the Ministry of Foreign Affairs, Dr. Mohammed bin Abdulaziz Al Khulaifi, per MOFA's official release.

→ MOFA ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS

9th Japan-Sweden Joint Committee Meeting on Science and Technology Cooperation held

MOFA announced the 9th Japan-Sweden Joint Committee Meeting on Science and Technology Cooperation, advancing bilateral S&T ties with Sweden.

→ MOFA ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM Takaichi convenes cybersecurity meeting as attacks grow; pledges 'all response options including active cyber defense'

Prime Minister **Sanae Takaichi** is holding a cybersecurity meeting amid a surge in attacks on Japanese companies and government systems, per Bloomberg. Asahi reports Takaichi stated she will 'execute all response options including active cyber defense.'

→ Bloomberg ↗

DIET SESSIONS / LDP

LDP

LDP proposes phased gasoline subsidy reduction of ¥5/month from December

The LDP submitted a proposal to reduce gasoline subsidies by ¥5 per liter per month starting December, per Asahi Shimbun. This follows PM Takaichi's October 24 directive to METI Minister Akazawa to review and scale back the subsidies.

HOUSE OF REPRESENTATIVES / OPPOSITION

Opposition parties urge PM Takaichi to personally explain tax cut bill in Diet

Opposition parties called on Prime Minister Takaichi to explain the food consumption tax cut bill herself in Diet deliberations rather than delegating to ministers, per nippon.com. The food tax cut bill previously received cabinet approval with key questions on financing left unanswered.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE

ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 · **22d ago**	**63%**	**33.9%**

Discourse: Mainichi's 'preferred next PM' poll released today shows Prime Minister Takaichi topping the survey, followed by Defense Minister Koizumi, while opposition parties press her to personally defend the food consumption tax cut bill in Diet; Kyodo focuses on intraparty dissent risk as Takaichi enters her second year.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MANUFACTURING · THE JAPAN TIMES

Japan's shipbuilders ramp investment to double output; total on track to exceed ¥1 trillion

Japan's shipbuilding sector is ramping capital investment on track to exceed *¥1 trillion* in total, targeting a doubling of output capacity, per Japan Times. The expansion reflects both defense-driven demand and an effort to recapture commercial market share lost to South Korean and Chinese yards.

AUTO · NIKKEI ASIA · SUBARU

Subaru to go EV-only in Europe by 2028

Subaru announced it will sell only electric vehicles in Europe by 2028, accelerating its electrification timeline in response to EU regulatory requirements and intensifying competition from Chinese automakers who have overtaken Japan in European market share for the first time.

ENERGY · NIKKEI ASIA · SUMITOMO

Sumitomo targets Japanese battery energy storage expansion using UK operational experience

Sumitomo is drawing on operational experience from battery energy storage deployments in the UK to expand its grid-scale storage business in Japan, per Nikkei Asia. The effort supports Japan's energy transition and grid stability goals under its green transformation (GX) policy.

MACRO · MAINICHI

Mainichi editorial warns reckless fiscal policies risk triggering 'Japan sell-off'

A Mainichi editorial warns that Japan's fiscal trajectory and a sharply weaker yen risk triggering a 'Japan sell-off' in international markets, calling on the government to break from policies that undermine the yen's international standing. The editorial comes as USD/JPY trades at 157.37 and the Nikkei falls for a third consecutive session.

REGIONAL PRESSURE WATCH

Normal — 10 items

CHINA

Chinese intelligence aircraft escalated operations around Japan's periphery coinciding with a major US-led exercise, per Military Watch Magazine and The Defence Blog, continuing the joint China-Russia surveillance surge pattern. China's rare-earth and critical-mineral export-control pressure on Japan remains the active economic-coercion vector from prior days, with no new easing reported today.

NORTH KOREA

KCNA via GMA Network denied that North Korea detonated a mine, claiming South Korea fabricated the incident; the statement is part of ongoing Korean Peninsula tensions but does not represent a new missile or nuclear signal directed at Japan today.

RUSSIA

Japan Times reports no progress in Tokyo's efforts to secure the release of Hokkaido Shimbun reporter Yuki Imai, held by Russia's FSB on espionage charges in Sakhalin; Russia has not softened its stance and continues to deny consular access, now confirmed for multiple consecutive weeks. Russian intelligence aircraft also participated in the elevated surveillance operations near Japan alongside Chinese aircraft.

Senkaku / ECS: No new China Coast Guard or PLA incursion into Senkaku territorial or contiguous waters reported in today's available data; the China-Russia intelligence aircraft escalation around Japan's periphery is the active signal today.

Bottom line: The coordinated China-Russia intelligence aircraft surge around Japan during a major US-led exercise is the primary regional-pressure signal today; the Hokkaido Shimbun journalist detention shows no movement toward resolution and continues to constrain Japan-Russia diplomatic space.

INDO-PACIFIC PARTNERS

AUSTRALIA · NIKKEI ASIA

Nikkei Asia opinion piece frames next chapter in Japan-UK relations around trust and growth

A Nikkei Asia piece examines the trajectory of Japan-UK bilateral relations, framing the partnership's next phase around deepening trust and economic growth following the Reciprocal Access Agreement.

SOUTHEAST ASIA · ASIA NEWS NETWORK

Dhaka and Tokyo expected to sign approximately $2 billion in loan agreements during Bangladesh PM visit

Bangladesh Prime Minister Tarique Rahman's four-day visit to Japan is expected to result in the signing of approximately *$2 billion* in Japanese loan agreements covering trade and investment, per Asia News Network and Firstpost.

UPCOMING

Oct 28

BOJ Monetary Policy Meeting decision expected

The Bank of Japan's policy meeting this week is widely expected to hold the rate at 1.00%, with markets watching BOJ Governor Ueda's post-meeting statement for signals on a December hike, per Reuters and multiple financial media.

Oct 29

US Federal Reserve FOMC decision

The Fed's rate decision this week runs concurrent with the BOJ meeting; dollar-yen is trading around 157 as traders await both central bank outcomes, per Reuters and BigGo Finance.

Nov 8

Kyushu Grand Sumo Tournament opens in Fukuoka

The November basho runs November 8-22 at Fukuoka Kokusai Center; rankings were released Monday including first-ever Okinawa-born komusubi Churanoumi, per Mainichi/Kyodo.

Dec 1

BOJ December rate decision — hike window open

Reuters analysis characterizes this week's BOJ pause as 'hawkish,' explicitly flagging December as the next window for a rate increase toward neutral. Exact meeting date to be confirmed from BOJ calendar.

Dec 1

Gasoline subsidy phased reduction set to begin

LDP's proposal calls for a ¥5/liter monthly reduction in gasoline subsidies starting December, per Asahi. PM Takaichi's October 24 directive to METI Minister Akazawa to review the subsidy framework set this timeline in motion.

CSIS Japan Chair

JAPAN DAILY BRIEF

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